

FEDERAL MARITIME COMMISSION

FMC AGREEMENT No. 201349,
WORLD SHIPPING COUNCIL AGREEMENT,
A COOPERATIVE WORKING AGREEMENT

Docket No. 25-10

Served: March 6, 2026

BY THE COMMISSION: Laura DiBELLA, *Chairman*, Rebecca F. DYE, Daniel B. MAFFEI, Max M. VEKICH, *Commissioners*.

Order on Investigation

The World Shipping Council (WSC), a trade association whose members operate about 90 percent of the world's liner vessel services, filed an agreement with the Federal Maritime Commission (Commission or FMC) in October 2020. *See* FMC Agreement No. 201349 (as most recently amended and filed February 27, 2026) (Agreement), available at the FMC's World Shipping Council Agreement Webpage (Agreement Webpage), <https://www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/34503>; 46 U.S.C. Chapter 403 (describing filing requirements for ocean common carrier agreements). The Agreement authorizes WSC's members who are parties to it to engage in seven categories of activities, which involve discussing and formulating common positions on a range of policy, legal, and other topics. *See* Agreement at Art. 5.1. Parties to the Agreement currently include 21 ocean common carriers (Agreement Parties). *See id.* at Appendix A: Parties. The Agreement became effective in November 2020 by operation of law, it has since been amended six times, and a seventh amendment is pending. *See* Agreement Webpage; 46 U.S.C.

§ 40304. Agreements that are filed and effective have a limited antitrust exemption under 46 U.S.C. § 40307.

In June 2025, the Commission opened an investigation of WSC's Agreement pursuant to 46 U.S.C. § 41302 to determine whether the Agreement, by its terms, is in violation of the Shipping Act. *See FMC Agreement No. 201349, World Shipping Council Agreement, a Cooperative Working Agreement*, FMC Docket No. 25-10. The FMC indicated that although the Agreement appeared to have been filed as a "cooperative working arrangement" under 46 U.S.C. § 40301(a)(5), the agency had reason to believe that at least some of the seven categories of activities described in Agreement Article 5.1 did not involve the working or operational activities of ocean carriers, and so to that extent the agreement was not within the FMC's jurisdiction over such agreements. *See Order to Show Cause*, FMC Docket No. 25-10 (Doc. 1) (June 26, 2025) (OTSC). As a first step, the Commission ordered WSC to show cause as to why the agency should not cancel the Agreement. WSC filed a detailed response to the OTSC in August 2025. *See Response of the WSC to Order to Show Cause*, FMC Docket No. 25-10 (Doc. 2) (Aug. 26, 2025) (WSC Response). The WSC Response confirmed that WSC regards the Agreement as a "cooperative working arrangement" under section 40301(a)(5). *See, e.g., id.* at 6.

After consideration of the WSC Response and all relevant issues, the Commission has determined that at least some current WSC Agreement activities do not fall within the scope of a "cooperative working arrangement" under section 40301(a)(5) because they are not "similar in type to those specifically enumerated" in the other parts of section 40301(a). *FMC v. Seatrain Lines*, 411 U.S. 726, 734 (1973). Those other parts of section 40301(a) describe agreements about operational activities—in plain terms, the nuts and bolts of getting paid to carry cargo or passengers on ships—as opposed to the trade association, regulatory, and policy matters that Article 5.1 of WSC's Agreement generally envisions. Indeed, Article 5.4 says Agreement Parties are not authorized to discuss vessel capacity or the terms and conditions of "ocean

transportation services,” *i.e.*, the kind of activities listed in the rest of 40301(a). And any ambiguity about whether a WSC Agreement activity falls within the scope of section 40301(a)—and the activity is therefore subject to the antitrust exemption at section 40307—should be resolved narrowly.

In evaluating the seven specific activities in Article 5.1 of the WSC Agreement, the Commission has broken them into three categories. Specifically, we find that:

- (1) *Article 5.1(b) (legal/regulatory matters related to competition), 5.1(c) (international agreements and laws), and 5.1(g) (trade association activities)* are not properly included in the Agreement because they do not involve activities similar to the others listed in section 40301(a). The Agreement will be canceled as to these provisions;
- (2) *Article 5.1(d) (requirements as to infrastructure and similar matters) and 5.1(f) (requirements as to information technology, customs, and similar matters)* describe activities that may fall within the proper bounds for a filed agreement, even though they seem to involve high-level best-practices endeavors that are not similar to those in the rest of section 40301(a). WSC may include versions of them in a proposed amended agreement, and the Commission will consider any justifications it submits before canceling as to those provisions; and
- (3) *Article 5.1(a) (environmental / climate matters) and 5.1(e) (safety / security matters)* describe activities that are likely within the proper bounds for a filed agreement, because they do relate directly to operational activities like those in the rest of section 40301(a). WSC may include versions of them in a proposed amended agreement, along with justifications explaining why they meet the relevant standard for inclusion under section 40301(a)(5).

Accordingly, the Commission issues this order notifying WSC that the Agreement will be canceled, effective in 60 days, as to the three listed categories of activities that are outside the FMC's jurisdiction under 46 U.S.C. § 40301(a)(5), described above in paragraph (1). The Agreement will be canceled as to the remaining four categories of activities, described above in paragraphs (2) and (3), only if the Commission subsequently determines they are beyond the scope of section 40301(a)(5), following consideration of any proposed amended agreement that WSC submits within that 60-day period. In the event that the Commission determines that WSC has shown that at least one but not all of the activities in its new submission qualifies under section 40301(a)(5), the agency will give WSC an additional period to submit a second proposed amended agreement that includes only the activities that fall within the scope of the provision. In the event that WSC fails to show that at least one activity qualifies under section 40301(a)(5), or submits no proposed amended agreement within 60 days of this order, the Commission will issue an order confirming that the Agreement is canceled in full.

I. BACKGROUND

A. WSC and the WSC Agreement

WSC operated as a trade association for about 20 years before it filed FMC Agreement No. 201349 in October 2020. *See* Agreement at Art. 2; Agreement Webpage. WSC describes itself as providing “a unified voice for the global liner shipping industry on public policy matters impacting the industry,” and as an organization that “interface[s] with governments and advocate[s] industry positions.” Agreement at Art. 2. WSC's members are the world's major ocean carriers, whose operations together account for about 90 percent of global container shipping services. *See* Agreement; World Shipping Council, <https://www.worldshipping.org/>.

WSC stated that it filed the Agreement because it “decided to expand the scope of issues to be addressed by and within WSC to

include certain issues which would arguably fall within the FMC's jurisdiction." Agreement at Art. 2. The Shipping Act requires that ocean common carriers file agreements among them in seven specific categories, which in basic terms are agreements to discuss or fix rates and other conditions or service; pool or apportion traffic or revenues; allot ports or regulate voyages between ports; regulate cargo or passenger traffic; "engage in an exclusive, preferential, or cooperative working arrangement"; regulate or prevent competition in ocean transport; or discuss or agree on a matter related to a service contract. 46 U.S.C. § 40301(a)(1)-(7); *see* 46 U.S.C. §§ 40302-40304 (describing requirements for agreement filing, content, and FMC review). WSC's Agreement does not explicitly state which provision of 46 U.S.C. § 40301(a) applies to the Agreement. The Agreement amended WSC's Bylaws such that any of its members that meet the Shipping Act's definition of an "ocean common carrier" are parties to the Agreement. *See* Agreement at Art. 8; *id.* at Appendix B: WSC Bylaws Art. 3, Section 8; *see also* 46 U.S.C. § 40102(7), (18) (defining "common carrier" and "ocean common carrier").

The Agreement authorizes WSC's members to "exchange information, discuss, and reach voluntary, non-binding agreement (including best practices and/or guidelines for voluntary implementation of best practices)" on seven topics. Agreement at Art. 5.1. These topics can be summarized as follows:

- (a) Environmental and climate-related matters, including as to certain types of ship operations;
- (b) Legal issues related to competition or antitrust laws and the application of those laws to the ocean transportation industry;
- (c) Positions on international agreements, treaties, conventions, and laws related to international trade;

- (d) Positions on government regulation of transportation infrastructure and supply chain logistics;
- (e) Safety and security issues in ocean shipping, including as to dangerous cargo; and
- (f) Positions on government regulation of information technology and data submissions for transportation-related documents; and
- (g) Trade association activities.

See id. at Arts. 5.1(a)-(g), 6. The Agreement does *not* authorize the Agreement Parties to “discuss or agree upon: (a) the vessel capacity to be deployed by any of them, current, future or proposed; or (b) the terms and conditions under which any member provides ocean transportation services to its customers.” *Id.* at Art. 5.4; *see id.* at Appendix B: WSC Bylaws Art. 2, Section 2 (WSC “shall not” be a vehicle for members to “discuss or agree upon commercial or operational matters” such as transportation rates and services to customers).

By operation of statute, the Agreement went into effect on November 15, 2020. *See* Agreement Webpage; 46 U.S.C. § 40304(c)(1). The Agreement has since been amended six times, and all of those amendments have also gone into effect by operation of statute, while the most recent amendment, filed on February 27, 2026, is still in the Commission’s preliminary review period. *See* Agreement Webpage; 46 U.S.C. § 40304(c)(1)-(2). The first and second amendments, filed in 2020 and 2022, added two additional ocean common carriers as Agreement Parties. The third amendment, filed in 2023, allowed WSC to develop tools and processes to enhance cargo screening, to better detect and flag containerized cargo for dangerous goods. The Commission requested additional information from WSC to better understand the scope of this amendment, and the amended Agreement became effective in September 2023. *See* Notice of Request for Additional Information,

88 Fed. Reg. 42941 (July 5, 2023). The fourth amendment, filed in 2024, revised WSC's Bylaws. The fifth and sixth amendments, filed in 2025 and early 2026, added Agreement Parties. The seventh amendment, described above, would allow WSC to create and maintain databases regarding incidents relating to the identification of non-compliant goods.

As noted, WSC's Agreement does not state which subsection of 46 U.S.C. § 40301(a) gives the Commission jurisdiction over the Agreement. However, the Agreement is titled "Cooperative Working Agreement" and is described as such in WSC's amended Bylaws. *See* Agreement.

B. This Investigation and the Order to Show Cause

In June 2025, the Commission initiated an investigation of WSC's Agreement pursuant to 46 U.S.C. § 41302. *See FMC Agreement No. 201349, World Shipping Council Agreement, a Cooperative Working Agreement*, FMC Docket No. 25-10. Under section 41302(a), the agency has the authority to investigate any agreement that it believes may be in violation of the Shipping Act, and the agency "may by order disapprove, cancel, or modify any agreement that operates in violation" of the Act. In the OTSC opening the investigation, the Commission noted that it sought to determine whether the activities listed in the Agreement were consistent with the agency's jurisdiction over such agreements under 46 U.S.C. § 40301(a). *See* OTSC at 1-2, 4-5. The FMC noted that although the Agreement appeared to have been filed as a "cooperative working arrangement" under section 40301(a)(5), the agency had reason to believe that at least some of the seven activities described in its Article 5.1 did not involve the working or operational activities of ocean carriers, and so to that extent were not within the FMC's jurisdiction over such agreements. *See id.* at 4-10. The Commission discussed its jurisdiction over filed agreements among ocean carriers under section 40301(a). *See id.* at 4-9. The FMC explained that although it generally has broad authority over the shipping activities of covered ocean carriers, the

type of activity covered by the “cooperative working arrangement” provision of section 40301(a)(5) has been interpreted more narrowly to reach only those activities “similar in type to those specifically enumerated” in what is now section 40301(a). *FMC v. Seatrain Lines*, 411 U.S. 726, 734 (1973); *see* 46 C.F.R § 535.104(i) (defining “cooperative working agreement”); OTSC at 6-9. As a result, the Commission concluded that at least some parts of WSC’s Agreement may not qualify as a “cooperative working arrangement” under section 40301(a)(5), and it ordered WSC to show cause as to why the agency should not cancel the Agreement. *See* OTSC at 10-11.

In August 2025, WSC filed a detailed response to the OTSC. *See* WSC Response. WSC confirmed that it sees the Agreement as a “cooperative working arrangement” under section 40301(a)(5). *See id.* at 1-2, 6. WSC effectively conceded that the trade association advocacy it had conducted on policy, legal, safety, and other matters prior to filing the Agreement in 2020 was not covered by section 40301(a)(5). *See id.* at 10-11. But WSC argued that in 2020 it had fundamentally changed its activities from mere “advocacy” to “cooperation” with regard to matters that are “operational” in nature. *Id.* at 11-14. WSC emphasized that the Commission had not raised the current concerns in its past review and monitoring of the Agreement since 2020. *See id.* at 14-22. WSC also maintained that the OTSC interpreted the key standard “cooperative working arrangement” too narrowly, arguing that the Agreement was covered because the cooperative activities it listed related to core ocean transportation services, stressing activities on security and environmental issues. *See id.* at 27-30. The Response asserted that what it saw as the OTSC’s overly narrow approach could impair the Commission’s ability to regulate other activity. *See id.* at 30-31. WSC also argued that the Commission’s apparent approach here was inconsistent with its approval of past filed agreements that included comparable activities. *See id.* at 31-34. Finally, WSC argued that the OTSC’s reliance on the generally narrow interpretation of antitrust exemptions was misplaced. *See id.* at 34-36.

The OTSC provided an opportunity for the filing of amicus briefs, *see* OTSC at 11, but none were filed.

II. DISCUSSION

A. “Cooperative Working Arrangements” Under 46 U.S.C. § 40301(a)(5) Are Limited to Agreements That Are Similar to the Others Listed in 46 U.S.C. § 40301(a), Which Involve the Shipping Operations of Ocean Carriers

Under the Shipping Act, the Commission has jurisdiction over certain agreements between or among ocean common carriers. In particular, under section 40301(a), the seven types of agreements among ocean common carriers that must be filed with the Commission are agreements involving the shipping operations of the carriers, specifically agreements to:

- (1) discuss, fix, or regulate transportation rates, including through rates, cargo space accommodations, and other conditions of service;
- (2) pool or apportion traffic, revenues, earnings, or losses;
- (3) allot ports or regulate the number and character of voyages between ports;
- (4) regulate the volume or character of cargo or passenger traffic to be carried;
- (5) engage in an exclusive, preferential, or cooperative working arrangement between themselves or with a marine terminal operator;
- (6) control, regulate, or prevent competition in international ocean transportation; or

- (7) discuss and agree on any matter related to a service contract.

46 U.S.C. § 40301(a)(1)-(7); *see* 46 U.S.C. §§ 40302-40304 (describing requirements for agreement filing, content, and FMC review).

As noted above, WSC confirmed in its Response that it believes its Agreement is a “cooperative working arrangement” under section 40301(a)(5). The concept of a “cooperative working arrangement” has been included in the Shipping Act since it was first enacted in 1916. *See* 39 Stat. 728, 733-34 (1916). Section 15 of the 1916 Act listed the types of agreements among ocean common carriers that were required to be filed with the Commission, including those “in any manner providing for an exclusive, preferential, or cooperative working arrangement.” *Id.* The section 15 categories functionally align with the types of agreements now listed in section 40301(a), with the exception of section 40301(a)(7) on agreements relating to service contracts, which were created in the Shipping Act of 1984. *See id.*

Filing an agreement with the Commission has significant legal consequences, conferring a limited exemption from federal antitrust laws for activity conducted under the agreement. *See* 46 U.S.C. § 40307(a) (“The antitrust laws do not apply to (1) an agreement . . . that has been filed and is effective under this chapter.”); 46 U.S.C. § 40102(2) (defining “antitrust laws” as certain statutes other than the Shipping Act). The Commission carefully reviews conduct under filed agreements to ensure compliance with the Shipping Act, including the Act’s own provisions addressing threats to competition. *See* 46 U.S.C. § 41307(b) (the FMC may seek injunctive relief in federal court when it believes an agreement is “likely, by a reduction in competition, to produce an unreasonable reduction in transportation service or an unreasonable increase in transportation cost or to substantially lessen competition in the purchasing of certain covered services”).

Two criteria determine if an agreement is within the Commission's jurisdiction under section 40301(a): the agreement must be (1) between or among ocean common carriers, and (2) an agreement to engage in one or more of the qualifying activities described in the statute. *See Foreign-to-Foreign Agreements--Exemption*, FMC Docket No. 87-24, 1989 FMC LEXIS 19, at *24-25; 25 S.R.R. 455, 461 (FMC Oct. 11, 1989).

As to the first prong of this analysis, the Shipping Act defines which entities are "ocean common carriers." In basic terms, ocean common carriers are vessel-operating common carriers that provide transportation between the United States and a foreign nation, with some exceptions. *See* 46 U.S.C. § 40102(7) (defining "common carrier") and (18) (defining "ocean common carrier"). Here, the WSC Agreement Parties are ocean common carriers. As the OTSC noted, in some circumstances there may be additional conduct-related limits on the FMC's jurisdiction that may be related to this first prong. *See* OTSC at 5-6, 9. However, in the current context, and in consideration of all potentially relevant factors, *see, e.g.,* WSC Response at 25-28, 30-31, it is sufficient to evaluate the Agreement by reference to the limits embodied in the second prong, which focuses closely on the nature of the qualifying activities at issue. In addition, it is important to note that the Commission's order is limited to addressing the coverage of section 40301(a)(5); it makes no broader statements about the scope of the agency's jurisdiction in other contexts.

As to the second prong of the analysis, the Commission and federal courts have interpreted the provisions now in section 40301(a) as conferring on the agency broad authority over agreements between ocean common carriers. *See generally Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 273-75 (1968) (reversing FMC's "extremely narrow" interpretation of "a statute that uses expansive language" in describing activities that bring ocean common carrier agreements under its jurisdiction); *Foreign-to-Foreign Agreements--Exemption*, 1989 FMC LEXIS 19,

at *25; 25 S.R.R. at 461 (interpreting the statute as “broadly” describing qualifying agreement activities).

However, the “cooperative working arrangement” provision of section 40301(a)(5) has been interpreted more narrowly, as a catch-all that reaches only agreements that are similar in nature to those in the other listed categories but may not fit precisely within them. It is true that the Commission has at times described the provision’s reach in terms that are comparable to the broad way in which the reach of section 40301(a) as a whole has been described, although it has also emphasized that the analysis of each agreement is a fact-specific one. *See, e.g., York Forwarding Corp.*, FMC Docket No. 70-04, Report, 15 F.M.C. 114, 121 (FMC Mar. 2, 1972) (“It is, of course, not possible to lay down hard and fast rules concerning the filing of agreements within the category of ‘cooperative working arrangements,’ and whether a particular agreement must be filed depends upon the facts and circumstances under which the agreement came into being and the aims and purposes expressed therein.”); *United Stevedoring Corp. v. Boston Shipping Ass’n*, FMC Docket No. 70-03, Report, 15 F.M.C. 33, 45 (FMC Nov. 2, 1971) (“any cooperative working arrangement dealing with or pertaining to ocean transportation and encompassed within the scope of the Shipping Act is an agreement subject to the Commission’s scrutiny”). Such Commission cases have reviewed agreements that clearly involved operational activities, like the work of stevedores at the Port of Boston in *Boston Shipping*, and it does not appear that the Commission has ever made a specific determination about the reach of the term “cooperative working arrangement” in a context like that presented by WSC’s Agreement.

But the Supreme Court has made clear that the term “cooperative working arrangement” refers to agreements that are similar to the type of agreements now listed in the rest of section 40301(a). In *Federal Maritime Commission v. Seatrain Lines, Inc.*, 411 U.S. 726 (1973), the Court affirmed a ruling of the U.S. Court of Appeals for the District of Columbia Circuit, in part on the basis that the term “cooperative working arrangement” in the 1916 Act

“was clearly meant as a catchall provision intended . . . to summarize the type of agreements covered.” *Id.* at 734; see *Seatrains Lines, Inc. v. FMC*, 460 F.2d 932, 935 (D.C. Cir. 1972) (“working arrangement” category “intended merely to summarize the type of agreements covered” by the other categories, “and not to include those of an entirely different nature”). The Supreme Court noted that pursuant to “a familiar canon of statutory construction,” such catchall provisions “are to be read as bringing within a statute categories *similar in type to those specifically enumerated*.” 411 U.S. at 734 (emphasis added). Applying that principle, the Court concluded that a “cooperative working arrangement” within the Shipping Act must relate to activities that are similar to those described in the other subsections of what is now section 40301(a), which focus on the actual operations of carriers, such as regulating rates, allotting ports, or regulating freight volume or traffic.

In addition, despite *Volkswagenwerk*’s prior recognition of the expansive reach of the different categories of what is now section 40301(a), 390 U.S. at 273-75, the *Seatrains Lines* Court rejected a reading of agreement-qualifying activities that “would conflict with our frequently expressed view that exemptions from antitrust laws are strictly construed.” 411 U.S. at 733 (citing *United States v. McKesson & Robbins, Inc.*, 351 U.S. 305, 316 (1956)). Courts narrowly interpret statutes granting antitrust exemptions, including the Shipping Act, to preserve the efficacy of the antitrust laws. See, e.g., *Grp. Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 231 (1979) (explaining that the doctrine of construing antitrust exemptions “narrowly . . . is not limited to implicit exemptions from the antitrust laws, but applies with equal force to express statutory exemptions” (citations omitted)); *Latin Am./Pac. Coast S.S. Conf. v. FMC*, 465 F.2d 542, 551-52 (D.C. Cir. 1972) (“[T]he Shipping Act of 1916 conferred only *limited* antitrust immunity upon the shipping industry [and] ambiguities [in interpreting the Act], if any, should be resolved in favor of free competition.” (citations omitted)). Indeed, this narrower interpretation aligns with the legislative history of the Shipping Act, because “Congress intended to tolerate only the minimum anticompetitive behavior necessary to preserve

an essentially competitive structure in the maritime industry[;] it did not intend thereby to remove all effective competition...” *Seatrains Lines*, 460 F.2d at 940 (describing legislative history of the 1916 Act).

The Commission’s regulations are consistent with the judicial interpretation of a “cooperative working arrangement” as one similar to the other types of agreements listed in section 40301(a). Title 46 C.F.R. § 535.104(i) defines “cooperative working agreement” as “an agreement that establishes exclusive, preferential, or cooperative working relationships that are subject to the Act, but that do not fall precisely within the parameters of any specifically defined agreement.” This definition echoes *Seatrains*’s catchall concept, interpreting the term to mean agreements that are closely related to but just outside the boundaries of the other defined agreement categories.

B. At Least Some of the Activities Described in WSC’s Agreement Do Not Qualify as Part of a “Cooperative Working Arrangement” Under 46 U.S.C. § 40301(a)(5), and the Agreement Will Be Canceled at Least in Part

Under the standards above, at least some of the activities described in WSC’s Agreement do not qualify as part of a “cooperative working arrangement” under section 40301(a)(5). Those elements of the agreement will be canceled, and as to the remainder, WSC may submit a proposed amended agreement including any potentially qualified activities it still wishes to pursue, as described below. WSC’s arguments that its Agreement qualifies under section 40301(a)(5) are generally unpersuasive.

1. At least some parts of WSC's Agreement appear to be subject to cancellation because they do not meet the standard in section 40301(a)(5)

Most of the activities described in Article 5.1 of the WSC Agreement do not appear to be “similar in type to those specifically enumerated” in the other parts of section 40301(a), as required to constitute a “cooperative working arrangement” under Supreme Court precedent. *Seatrains Lines*, 411 U.S. at 734; *see Seatrain Lines*, 460 F.2d at 935 (the category is “intended merely to summarize the type of agreements covered” by the other categories, “and not to include those of an entirely different nature”); 46 C.F.R. § 535.104(i) (a “cooperative working agreement” is one “establishing relationships that are subject to the Act, but that do not fall precisely within the parameters of any specifically defined agreement.”). The other subsections of 40301(a) describe agreements about operational shipping activities, namely agreements to discuss or fix rates and other conditions or service; pool or apportion traffic or revenues; allot ports or regulate voyages between ports; regulate cargo or passenger traffic; regulate or prevent competition in ocean transportation; or discuss or agree on a matter related to a service contract. *See* 46 U.S.C. § 40301(a)(1)-(4), (6)-(7). That type of operational business activity stands in contrast to the policy-oriented discussions envisioned by Article 5.1 of WSC's Agreement, whose subjects include international agreements and trade laws; legal issues related to competition or antitrust; and trade association activities. *See* Agreement at Arts. 5.1(a)-(g), 6.

Indeed, elsewhere the Agreement specifies that the Parties are *not* authorized to discuss the kind of operational activities listed in the rest of section 40301(a). The Agreement withholds authority to discuss “vessel capacity” or the terms and conditions of the “ocean transportation services” the Agreement Parties provide to customers. Agreement at Art. 5.4. In a similar vein, WSC's By-Laws explicitly state that they do not authorize discussion of such

“commercial or operational matters.” Agreement at Appendix B: WSC Bylaws Art. 2, Section 2. Once again, therefore, the subject matter of most Agreement-authorized activity appears to be distinct from the commercial operations of WSC’s ocean carrier members.

Moreover, any ambiguity about whether conduct in an agreement like WSC’s falls within the scope of section 40301(a)(5)—and the activity is therefore subject to the antitrust exemption at section 40307—should be resolved narrowly. Congress granted a limited antitrust exemption to collaboration between competing ocean common carriers as a means to preserve overall competition and prevent harmful consolidation in the ocean transportation industry. *See Seatrain Lines*, 411 U.S. at 733; 460 F.2d at 938-40. A trade association that is not involved in providing ocean transportation services would not appear to be engaged in the type of conduct Congress intended to immunize from scrutiny by antitrust enforcers and private plaintiffs.

However, although the general approach and content of the WSC Agreement do not appear to be consistent with the scope of section 40301(a)(5), it is advisable to evaluate each of the seven specific activities described in Article 5.1 of the Agreement. The Commission has broken them into three categories.

First, it appears that *Article 5.1(b) (legal/regulatory matters related to competition)*, *5.1(c) (international agreements and laws)*, and *5.1(g) (trade association activities)* are not properly included in the Agreement under section 40301(a)(5), because they do not involve activities similar to the others listed in section 40301(a). Subsection (b) covers “legal and regulatory matters relating to competition laws or antitrust laws,” including exemptions for liner shipping, as well as “trade, customs and security laws; regulation of liner shipping, cargo liability laws and/or treaties; import, export, or trade tariffs; and economic sanctions, laws or regulations.” Subsection (c) covers “positions to be taken with respect to international agreements, treaties, and conventions ... and/or national or supra-national laws relating to

tonnage, income, or other taxes, or international trade...” And subsection (g) covers the “activities covered by Article 6,” which is entitled “Trade Association Activities” and describes “certain public policy activities and initiatives on behalf of its members that are constitutionally protected and exempt from the U.S. antitrust laws under the decisions in *Noerr-Pennington* and its progeny.”

The activities described in Art. 5.1(b), (c), and (g) do not appear to be sufficiently similar to the others listed in section 40301(a) to qualify as being part of a “cooperative working arrangement.” They are not closely linked to carrier operational activities but instead encompass broad legal and policy issues. Subsection (b) is legal in nature, with its focus on competition laws, trade laws, and economic sanctions. Subsection (c) is likewise legal in nature, with its focus on international agreements as well as international tax and trade laws. And subsection (g) focuses on “trade association activities,” specifically public policy activities and initiatives. All three of these subsections describe activities that are far removed from the operational activities covered by the other provisions of section 40301(a).

The Agreement itself effectively concedes that such activities do not qualify. *See* Agreement at Art. 2 (Agreement “expand[s] the scope of issues” beyond WSC’s past “trade association” activities, which focused on legal and policy matters, to include issues that “would arguably fall within the FMC’s jurisdiction”); Art 5.4 (Agreement does not authorize parties to discuss “vessel capacity” or the “terms and conditions under which any member provides ocean transportation services”); Appendix B: WSC Bylaws Art. 2, Section 2 (WSC “shall not” be a vehicle for members to “discuss or agree upon commercial or operational matters”); *see also* supra pp. 14-16 (discussing Agreement’s apparent overall failure to meet the standards for activities falling within section 40301(a)(5)); *infra* pp. 19-23 (explaining why WSC’s arguments to the contrary are generally unpersuasive).

Second, it appears that *Article 5.1(d) (requirements as to transportation infrastructure and similar matters)* and *5.1(f) (requirements as to information technology, customs, and similar matters)* may fall within the proper bounds for an agreement under section 40301(a)(5), although there are serious doubts because those categories appear to mainly involve high-level policy and best-practices endeavors that are not similar enough to the operational activities found in the rest of section 40301(a). Subsection (d) covers “positions to be taken with respect to requirements” of governments and institutions related to “transportation infrastructure; cargo and supply chain fluidity; port and terminal operations; inland operations impacting the provision of ocean and intermodal transportation services; cargo handling/processing infrastructure and facilities; canal operations and toll systems; and related industry practices or policies.” Subsection (f) covers “positions to be taken with respect to requirements” of governments and institutions “relating to information technology, data submission standards, customs matters ... cybersecurity, safety or performance standards for electronic container monitoring devices, or electronic bills of lading and other transportation related documents.” These two subsections appear to mainly relate to what “positions” Agreement Parties will take regarding governmental or other industry-wide requirements, and as such they seem removed from the operational activities described in the rest of section 40301(a). Nevertheless, some elements may still qualify to the extent they have a sufficient connection to operational activities, potentially including those related to “port and terminal operations” (subsection (d)) and “safety or performance standards for electronic container monitoring devices” (subsection (f)). Therefore, WSC may include versions of these categories in a proposed amended agreement, and the Commission will consider any justifications it submits.

Finally, we find that *Article 5.1(a) (environmental / climate matters)* and *5.1(e) (safety / security matters)* include elements that are likely within the proper bounds for an agreement under section 40301(a)(5), because they relate directly to operational activities. Subsection (a) includes elements that likely have a significant link

to such activities, including matters relating to “vessel emissions,” “ballast water exchange,” and “vessel operations in environmentally sensitive regions.” Likewise, subsection (e) includes elements that likely have a sufficient link to operational activities, such as the “handling of dangerous cargoes”; “screening, scanning, and/or weighing cargo,” including WSC’s development of a cargo screening tool; “pest infestation”; “containers lost at sea”; and “vessel fires.” WSC appears to have devoted significant effort in recent years to the development of its cargo safety program, and that appears to be one of the major activities it has pursued under the Agreement. *See* WSC, “World Shipping Council announces industry-first Cargo Safety Program to prevent ship fires” (Sept. 15, 2025), available at <https://www.worldshipping.org/news/world-shipping-council-launches-industry-first-cargo-safety-program-to-prevent-ship-fires>. WSC may include versions of those two Article 5.1 subsections in a proposed amended agreement but should also include justifications explaining why they meet the relevant operational standard for inclusion under section 40301(a)(5).

2. WSC’s arguments that its current Agreement qualifies under section 40301(a)(5) are generally unpersuasive

WSC raises many objections to the OTSC’s overall approach to the scope of section 40301(a)(5). However, WSC’s arguments are largely unavailing.

WSC asserts that the statutory term “cooperative work arrangement” has been interpreted broadly, but the cases it cites are not directly on point and in any case not sufficient in light of the *Seatrains Lines* decisions. *See* WSC Response at 6-8. *Volkswagenwerk*, on which WSC relies, does not support the broad interpretation of the term that WSC claims here. *See id.* at 6. That 1968 decision was about an agreement among ocean carriers and other shipping entities that raised funds to reduce the impact of technological changes on workers by increasing stevedoring and terminal charges on the Pacific Coast. *See* 390 U.S. at 263-65, 268.

The FMC did not dispute that this qualified as a “cooperative working arrangement” under the statute then in effect, but it took the position that the agreement did not need to be filed because it did not “affect competition.” *See id.* at 271-75. In rejecting that position, the Court addressed the agency’s application of that competition-based limit, but not how the term “cooperative working arrangement” should be interpreted generally, and not its interaction with the other categories of agreements described in what is now section 40301(a). *See id.*

But in the later *Seatrain Lines* decisions, the Supreme Court and the D.C. Circuit Court of Appeals *did* address how to interpret “cooperative working arrangement.” WSC argues that those cases focused on whether an agreement was covered by the statute even though it was not “continuing in nature,” and so the courts’ clear statements that a “cooperative working arrangement” must be similar to those now described in the other subsections of 40301(a) should be interpreted only in that context. WSC Response at 8-10, 22-23. But the courts were analyzing what the term “cooperative working arrangement” meant as a general matter, in light of the statute’s structure and content, and they did not confine their analysis to the continuity issue. *See Seatrain Lines*, 411 U.S. at 734 (pursuant to “a familiar canon of statutory construction,” such catchall provisions “are to be read as bringing within a statute categories similar in type to those specifically enumerated.”); 460 F.2d at 935 (the “working arrangement” category is “intended merely to summarize the type of agreements covered” by the other categories, “and not to include those of an entirely different nature”). WSC offers no logical reason to think that analysis would not apply here as well.

WSC turns to FMC precedent, some of which does describe the scope of “cooperative working arrangement” in broad terms, as noted above, but that precedent is not sufficient to overcome the authoritative force of the *Seatrain Lines* decisions. *See* WSC Response at 7-8. WSC cites the *Boston Shipping* case, the 1971 FMC decision involving an agreement about the work of stevedores,

but again, that kind of operational agreement is nothing like WSC's, and the language WSC relies on about the scope of "cooperative working arrangements" is too broad to provide much guidance here, as noted above. *See Boston Shipping*, 15 F.M.C. at 45. WSC also cites a 1984 ALJ decision involving a transshipment agreement between two carriers. *See Prudential Lines, Inc. v. Farrell Lines, Inc.*, FMC Docket No. 83-14, Initial Decision, 26 F.M.C. 497, 509, 520 (ALJ Jun. 7, 1984). But that case involved another plainly operational agreement that stands in contrast to WSC's, and the language on which WSC relies indicates that the overall coverage of what is now section 40301(a) is broad, but not how to interpret the term "cooperative working arrangement" in particular. *See id.*

Finally, WSC relies on several other older FMC cases to support the idea that "cooperative working arrangement" is interpreted broadly, but those cases are easily distinguished from WSC's own descriptions, each of which refers to the "operat[ional]" nature of the agreements under review. WSC Response at 7-8 (describing *R.O. White & Co., Inc. v. Port of Miami Terminal Operating Co.*, FMC Docket No. 06-11, Initial Decision, at 37 n.35 (ALJ Jul. 28, 2009), as "holding an agreement by marine terminal operators to pool their resources to form a single terminal, which they *operate* jointly," to be a covered arrangement; *Gen. Transpac Sys. – Possible Violations of Sec. 15 of Shipping Act, 1916*, FMC Docket No. 81-59, Initial Decision, 25 F.M.C. 269, 270 (ALJ Aug. 23, 1982) as "holding an agreement between two common carriers whereby one assumes responsibility for, conducts the *operations* of, and reaps profit from the other" to be a covered arrangement; and *Agreement No. 10235 – Consol. Forwarders Intermodal Corp.*, FMC Docket No. 77-19, Interim Report and Order, 21 F.M.C. 553 (FMC Dec. 13, 1978), as "holding an agreement to form and *operate* a freight consolidation service is sufficiently related to the parties' Shipping Act *operations* to be within the Commission's Section 15 jurisdiction" (emphases added)).

In the end, whether or not the label "broadly" is applied to the interpretation of the statutory term "cooperative working

arrangement,” it is clear that the term extends only to agreements that are “similar in type,” *Seatrains Lines*, 411 U.S. at 734, to the others described in section 40301(a). At least some of WSC’s Agreement plainly does not meet that standard because it covers trade association activities that are not akin to operating a common carrier.

In fact, as noted above, WSC effectively concedes that the “trade association advocacy” it conducted on “public policy, legal, regulatory, environmental, and safety and security matters” prior to filing the Agreement in 2020 was not covered by section 40301(a)(5). *See* WSC Response at 10-11. Indeed, not making that concession may have called into question whether WSC’s prior conduct was consistent with Chapter 403. But WSC argues that in 2020 it fundamentally changed its activities, expanding them from mere “advocacy” to “cooperation” on matters that are “operational” in nature. *Id.* at 11-14. WSC provides some specific examples of activities that it regards as more operational, such as those related to dangerous cargo, security standards, lost containers, and container integrity. *See id.* at 12-14. WSC also maintains that its Agreement is covered because the cooperative activities it listed relate to “core ocean transportation services,” stressing activities on security, container loss, and environmental issues. *Id.* at 28; *see id.* at 28-30.

At least some of the subjects WSC mentions do seem potentially operational in nature and potentially covered by section 40301(a)(5), as discussed above with regard to the specific subsections of Agreement Article 5.1. But as also explained above, Article 5.1 encompasses far more than the subjects WSC has chosen to highlight, and a given subject cannot be made “operational” merely by applying that label. In addition, with regard to WSC’s reliance on what it describes as a new emphasis on “cooperation” starting in 2020, it appears that WSC is conflating the *extent* of cooperation with the *subject matters* on which cooperation occurs—it is the latter that section 40301(a) addresses, and its coverage does not depend on the extent or level of cooperation. The Agreement itself appears to recognize this distinction, in explaining that it

reflects WSC's decision "to *expand the scope of issues* to be addressed by and within WSC to include certain issues which would arguably fall within the FMC's jurisdiction." Agreement at Art. 2 (Purposes of the Agreement) (emphasis added). That statement also implies that WSC's "trade association" issues of "public policy, legal, regulatory, environmental, and safety and security matters" do *not* "fall within the FMC's jurisdiction." *Id.*; WSC Response at 10-11.

WSC also argues that the approach discussed in the OTSC is inconsistent with the Commission's past approach to the relevant issues. *See* WSC Response at 14-21, 31-34. That argument has some force, but agencies can modify their regulatory approaches as long as they display awareness they are doing so and provide a reasoned explanation for the modification. *See Sinclair Wyoming Refining Co. LLC v. EPA*, 114 F.4th 693, 711 (D.C. Cir. 2024).

Here, WSC emphasizes that the Commission had not raised the current concerns about the coverage of section 40301(a)(5) in its past review and monitoring of the Agreement since 2020. *See* WSC Response at 14-22. It is true that from the October 2020 initial filing until the OTSC was issued in June 2025, the Commission did not question the extent to which the Agreement activities fall within the scope of section 40301(a)(5). But that was a period of significant transition and high workload for the agency, one which encompassed the dislocations of the COVID-19 pandemic and the time-sensitive implementation of the comprehensive Ocean Shipping Reform Act of 2022, Pub. L. 117-146, 136 Stat. 1272 (Jun. 16, 2022). The Agreement received a certain amount of latitude in those years. But over time, the agency's regular monitoring and oversight led it to begin to reassess the extent to which the activities the Agreement authorized actually fit within Chapter 403. That reassessment culminated in the OTSC. Agencies must be permitted to revisit such determinations when circumstances call for it.

Similarly, WSC argues that the Commission's apparent approach here is inconsistent with its approval of some past filed

agreements that included activities comparable to those in the Agreement. *See* WSC Response at 31-34. WSC points to “non-rate discussion agreements” that seem to focus on high-level regulatory, safety, and security issues. *See id.* at 31-32. WSC also provides a “sample list” of agreements that appear to involve “cooperative working arrangements,” including agreements filed by other associations, and to encompass discussion of specific safety, security, environmental, and economic issues. *See id.* at 32-33. Of course, some of these are topics that the Commission’s analysis above has indicated may well qualify under section 40301(a)(5), such as certain of WSC’s safety, security, and environmental activities, and in this order the Commission is inviting WSC to explain further how they may. At this stage, though, it is premature to evaluate the extent to which this proceeding may reach results that call any other agreements into question. In any event, parties may rely on filed agreements unless and until the Commission specifically determines that they will be canceled. *See* 46 U.S.C. § 40307(a)(3)(A) (limited antitrust exemption applies where there is a reasonable basis to conclude activity occurs pursuant to agreement on file with the FMC and in effect at time of activity); 46 U.S.C. § 40307(c) (an agency determination that results in the removal of antitrust immunity under subsection (a) does not remove the immunity for the period before the determination).

It may be that a relatively small number of other filed agreements describe authorized activity that would arguably not meet the standard for “cooperative working arrangements” described herein, and it may be that such agreements would merit further agency review in due course. But it is still appropriate for the Commission to start with the broad WSC Agreement at issue here, which governs the conduct of ocean carriers that account for 90 percent of global container shipping, with a review of the Agreement’s scope in light of the agency’s recent experience in monitoring it. Most of the agreements on which WSC relies were filed long ago, prior to the high level of consolidation that the ocean carrier industry has experienced in recent years. *See Review of Maritime Transport 2022*, United Nations Trade and Development,

at 137 (“Over recent decades, the container shipping sector has seen a continuous process of consolidation and restructuring of relationships.”); *see also id.* at 137-49; Mark Szakonyi, *Hapag-Lloyd’s plan to acquire Zim would deepen shipping oligopoly*, J. of Com. (Feb. 15, 2026). That changing market landscape is another reason to reconsider regulatory approaches that exempt activity from antitrust laws.

WSC argues that the OTSC’s reliance on the generally narrow interpretation of antitrust exemptions was misplaced. *See* WSC Response at 34-36. WSC does not dispute that antitrust immunity is narrowly construed in general, but it argues that this must be viewed in the context of what it views as the “broad” “categories” of agreements deemed to be “cooperative working arrangements.” *See id.* at 36. However, as explained above, under relevant case precedent the “cooperative working arrangement” category in subsection 40301(a)(5) is subject to the limit that covered activities must be similar to those described in the other parts of section 40301(a), however broad those other categories may be. And because one effect of an agreement’s status as a “cooperative working arrangement” is to grant a measure of antitrust immunity, it is appropriate to consider the relevant interpretive principle in evaluating that status.

3. WSC’s Agreement will be canceled at least in part, but WSC will have the opportunity to show that some parts meet the standard in section 40301(a)(5)

In view of all the factors discussed above, the Commission notifies WSC that the Agreement will be canceled, effective in 60 days, as to the three listed categories of activities (Art. 5.1(b), (c), and (g)) that are outside the FMC’s jurisdiction under 46 U.S.C. § 40301(a)(5). *See* 46 U.S.C. § 41302(a) (the Commission “may [] cancel [] any agreement that operates in violation of [the Shipping Act]”). In the specific context of this matter, where as explained above types of activity as described are by their basic nature

inconsistent with the scope of section 40301(a), we find that permitting those three provisions to remain in effect in a filed agreement would allow them to operate in violation of the Act. Cancellation of those portions of the agreement will not have retroactive effect as to the applicable antitrust immunity. *See* 46 U.S.C. § 40307(c). The Agreement will be canceled as to the other four listed categories of activities (Art. 5.1(a), (d), (e), and (f)) only if the Commission determines that they are beyond the scope of section 40301(a)(5), following the agency's consideration of any proposed amended agreement that WSC submits within that 60-day period, pursuant to 46 U.S.C. § 40304, as well as justifications that WSC provides for including such activities. In formulating specific descriptions of any such activities, WSC should consider the extent to which each subcomponent meets the section 40301(a)(5) standard discussed above. Of course, any such proposed amended agreement should omit the three listed categories of activities that the Commission has already determined cannot be included.

If the Commission determines that WSC has shown that at least one but not all of the activities in its new submission qualifies under section 40301(a)(5), the agency will permit WSC to submit a second proposed amended agreement that includes only the activities the Commission has determined fall within the scope of the provision. In the event that WSC fails to show that at least one activity qualifies under section 40301(a)(5), or submits no proposed amended agreement within 60 days of the order, the Commission will issue an additional order confirming that the Agreement is canceled in full.

The Commission holds the discretion to permit the current Agreement to remain in place, with certain parts declared to be outside the scope of section 40301(a). *See Foreign-to-Foreign Agreements--Exemption*, 25 S.R.R. at 468 (permitting agreements encompassing foreign-to-foreign operations to remain on file and effective with the understanding that antitrust immunity did not extend to such activities). Indeed, we note that WSC need not modify its Agreement at this time except as necessary to address the

specific issues the Commission has raised here about Article 5.1. Thus, the Agreement's own reference to its global reach in Article 4 (Geographic Scope) need not be modified to limit its scope in that respect. But in the specific context of the current case, where as noted above categories of activity are excluded because their basic nature is inconsistent with the scope of section 40301(a), it is preferable to have a filed agreement with no such categories, in the interest of clarity as well as ease of administration and monitoring.

III. CONCLUSION

Pursuant to the Order to Show Cause (Doc. 1) (June 26, 2025), and in consideration of the Response of the WSC to Order to Show Cause (Doc. 2) (Aug. 26, 2025), the Commission hereby:

CANCELS FMC Agreement No. 201349 (World Shipping Council) pursuant to 46 U.S.C. § 41302(a), effective 60 days from this order, as to Article 5.1(b), 5.1(c), and 5.1(g), on the basis that those provisions describe activities that do not qualify for inclusion pursuant to 46 U.S.C. § 40301(a)(5), as discussed in this order;

ORDERS that, with regard to FMC Agreement No. 201349 (World Shipping Council), the World Shipping Council has 60 days from the date of this order to submit a proposed amended agreement pursuant to 46 U.S.C., Chapter 403, with any versions of Article 5.1(a), 5.1(d), 5.1(e), and 5.1(f) that the Council wishes to include;

ORDERS that, with regard to FMC Agreement No. 201349 (World Shipping Council), if the World Shipping Council submits a proposed amended agreement pursuant to 46 U.S.C., Chapter 403 within 60 days of this order, it may also by that same date submit a brief not to exceed 50 pages, along with any supporting materials, showing with specificity how each category of activities included in the proposed amended agreement qualifies for inclusion

pursuant to 46 U.S.C. § 40301(a)(5), as discussed in this order; and

ORDERS that, pursuant to 46 C.F.R. § 502.61(d), the deadline for a final decision in this matter is extended to September 26, 2026.

By the Commission.

David Eng
Secretary